

Sustainable Production & Operations encompasses our efforts to address the environmental and social impacts of our operations and facilities, film and television productions, broadcast and transmissions, sourcing practices, and licensed consumer products.



Following the ViacomCBS merger in 2019, we have been working to consolidate our policies and practices and advance new initiatives to reduce our footprint and ensure our values and priorities are reflected throughout our value chain.

We aim to further sharpen our focus on supply chain monitoring and accelerate our company-wide response to climate change, including developing a detailed plan to reach net-zero emissions.

IMAGE:
Hollywood Trucks' EcoLux solar trailer demo

Goals

Sustainable Production & Operations

We are working to mitigate our impacts on climate change by assessing and managing our environmental impacts across our facilities, productions, travel, and supply chain.

- 1

Pilot a greenhouse gas emissions initiative in the UK, publishing our plan for how to do so by end of 2021
- 2

Assess what it would take for ViacomCBS to reach net zero greenhouse gas emissions across our global value chain

7 mil

Our total greenhouse gas emissions in 2020 totaled 7,064,084 metric tons CO₂e

Climate Change

GRI: 102-11; TCFD: Governance, TCFD: Strategy, TCFD: Risk Management, TCFD: Metrics and Targets

The accelerating climate crisis impacts us all. As a major media company, we have an obligation to both mitigate our own impacts and use our content to inform and influence audiences about this critical issue.

Climate change is an urgent global challenge that threatens our viewers and their communities, our employees and partners, and society. It is not a vague or distant threat; its effects can be seen and felt today, in the form of more extreme weather, disruption of vital ecosystems, growing risks to food and water supplies, and more. We recognize this crisis is the result of human activity and that we must all change how we do things to protect current and future generations.

Our industry is not a major emitter of greenhouse gases (GHGs) and climate change is not a discrete issue in our [materiality assessment](#). However, both the systemic importance of climate change and its relationship to a host of other issues make it a key part of our ESG strategy. At the same time, our industry’s

role in contributing to GHG emissions is evolving as media companies are growing in the streaming space – like we are, with the launch of Paramount+ in early 2021 – and we have a responsibility to measure and make public the environmental impacts of these activities.

Across our business, we are implementing several strategies and initiatives to better understand and mitigate our impacts, with the ambition to work toward net-zero emissions. We are also using our content platforms to raise awareness and promote necessary action at a global scale.

Understanding Our Impacts

Our direct climate impacts consist of the emissions from our operations and facilities,

GREENHOUSE GAS EMISSIONS (METRIC TONS CO₂e)

GRI: 305-1, 305-2, 305-3, 305-5; TCFD: Metrics and Targets

	2014*	2015*	2016	2017	2018	2019**	2020
Scope 1	8,297	9,045	24,672	26,834	31,737	38,240	32,097
Scope 2 (location-based)	39,252	50,828	216,737	219,851	229,073	144,268	139,608
Scope 2 (market-based)	37,114	50,828	213,701	219,375	219,385	123,106	134,333
Scope 3	28,499	33,242	47,190	39,356	37,891	819,682	6,897,654 (market-based)
Total (Scope 1 + Scope 2 market-based + Scope 3)	73,910	93,115	285,563	285,566	289,013	981,028	7,064,084

- Scope 1:** Corporate fleet, news vans, refrigerants, and natural gas, including for on-site generation, including fuel used by production vehicles and generators
- Scope 2:** Electricity and steam for all global sites, including estimates for locations without energy data and production electricity usage in leased spaces. Market-based emissions take our renewable energy contracts and utility-specific emission factors into account
- Scope 3:** Purchased goods and services, capital goods, streaming fuel-and-energy-related activities, upstream transportation, waste, business travel, and downstream transportation

* 2014 and 2015 data is for legacy Viacom only
** Our 2019 CDP submissions portray slightly different values than this chart, which reflects more accurate combined-company data



which include our leased and owned office buildings, broadcast television transmitters, data centers, and production studios. We also generate a combination of direct and indirect emissions when filming on location or in spaces that we do not directly own or lease. Other business-related activities – such as releasing

our content to theaters and via streaming services; employee, corporate, and production-related travel; and the manufacturing and distribution of our licensed consumer products – also result in indirect emissions.

In 2021, we submitted our first combined report to the Carbon

Disclosure Project (CDP) as the merged company ViacomCBS, based on our 2020 calendar-year emissions. As many companies experienced in 2020, we generated fewer GHG emissions than anticipated, largely due to the COVID-19 pandemic shutting down our office buildings and limiting non-essential activities.

ViacomCBS ANNUAL ENERGY USE BY TYPE

[GRI 302-1](#); [SASB: TC-IM-130a.1](#), [TC-TL-130a.1](#)

	2015*	2016	2017	2018	2019	2020
Electricity (MWh)	36,888	549,176	595,957	550,085	417,356	448,197
Renewable Electricity (MWh)	0	10,026	4,726	11,237	40,325	53,395
Natural gas (MWh)	43,557	111,944	123,115	127,371	104,138	90,782
Steam (MWh)	66	50,286	58,901	56,192	29,590	33,014
Diesel (MWh)					38,814	8,876

* 2015 data is for legacy Viacom only

IMAGE:
CBS Studio Center: 12 EV chargers

Although these actions were outside our operational control, our facilities team further proactively reduced plug loads and adjusted heating, cooling, and lighting timer schedules to optimize energy conservation.

While our offices were vacant, our television networks remained a reliable source for news and entertainment. Our news and sports broadcasts provided vital information and content to viewers at home, along with our original programming returning to

production in June 2020 for the fall schedule; we captured the resulting emissions in our 2020 data for the first time across our family of brands. This effort to collect and estimate production emissions across our global portfolio is a process we will continue to improve upon and manage.

Although our corporate travel emissions were lower in 2020 than in 2019, our Scope 3 emissions increased from 2019 to 2020 due to an expanded

baseline of data. We are reporting data in new categories, including the manufacturing and transportation of our home entertainment discs. Additionally, with the launch of Paramount+, we worked directly with our content delivery network to report the emissions associated with providing high-definition videos to viewers across our streaming platforms. Understanding the impacts of our products continues to be a high priority in our ESG practice to mitigate these emissions as much as possible.

Getting to Net Zero

We are piloting a greenhouse gas emissions initiative in the UK and will publish our plan for how to do so by the end of 2021. We will also assess what it would take for ViacomCBS to reach net-zero greenhouse gas emissions for our global emissions footprint across our value chain.

We are already working on both plans and we know there are several key components to reaching net zero. We take these plans very seriously and will prioritize absolute reductions, especially where we have material impacts and can help influence the industry and our partners. Specifically, to reduce our combined Scope 1 and 2 emissions, we will work to reduce our direct use of fuels for buildings and production equipment (our Scope 1 demand), increase our energy efficiency, and purchase more renewable energy. This work will involve reviewing the electrification and efficiency of our buildings and vehicles, as well as our priorities related to renewable energy procurement.

Because we do not manufacture or otherwise have significant physical operations, our Scope 3

emissions make up most of our footprint. We will work with our suppliers to understand their own environmental impacts, and we will review aspects of our business related to travel, streaming, third-party productions, and more.

Managing Our Energy Use

In our offices, studios, and other facilities, we are focused on increasing energy efficiency and the use of renewable energy. We are developing a comprehensive energy efficiency strategy as part of our company-wide commitment to develop a plan to reach net-zero emissions, and we are managing our energy sourcing by looking at both on-site installations and our procurement strategies.

Energy Efficiency

[GRI: 302-4](#)

Our total electricity consumption in 2020 increased slightly compared to 2019. This increase is largely due to our improved ability to measure production impacts, which have historically been difficult to track. 2020 marks the first year we have measured companywide impacts from productions, and we continue to

improve our reporting on sports and live events. In fact, while we reported an increase in total electricity consumption, many of our largest sites significantly decreased their consumption compared to 2019, although this is largely due to disruptions from the pandemic. That said, while building occupants worked remotely due to COVID-19 shutdowns, our facility managers took advantage of the opportunity to make lighting and equipment retrofits. For example, the CBS Television Stations group completed the FCC broadcast repackaging project at 10 transmitters, upgrading them to solid-state equipment, which reduced electricity consumption at the transmitter sites by 8 percent compared to 2019.

We continued retrofitting light-emitting diode (LED) lighting at our stages, such as those at the CBS Studio Center, and our offices, like our headquarters in New York City and our offices in Nashville. In November, the *CBS News: 2020 America Decides* set was built at our headquarters with LED video walls surrounding the anchors to provide to-the-minute election results. In 2021, *CBS Mornings* took permanent residency of the space once it had been further



retrofitted with cutting-edge technology and video screen experiences.

As of 2020, we operate two Leadership in Energy and Environmental Design (LEED®)-certified buildings, including our headquarters in New York City, and we've committed to all future construction in the U.S. meeting LEED or equivalent standards.

In 2020, Paramount Pictures worked with the Los Angeles Department of Water and Power to develop the first Production Set Lighting Rebate Program. This program will make it

“We are really happy to help Paramount Pictures and the rest of the studio industry chart a sustainable path forward and this new measure is a great example of what we can do together.”

– David Jacot, Director of Efficiency Solutions, Los Angeles Department of Water and Power



IMAGES (TOP TO BOTTOM):
CBS News broadcasting;
Paramount lighting

Supply Chain Responsibility

GRI: 102-9, 407-1, 408-1

We are committed to mitigating social and environmental impacts in our supply chain, and to fostering diversity, and enhancing transparency across our value chain.

As a producer of content, our supply chain consists mostly of people – writers, producers, talent, crew – as well as specialized technology, materials, and services used in the production and distribution of our films and shows.

We are committed to monitoring and managing our supply chain in line with our wider ESG strategy. Our current priorities include fostering supplier diversity, equity, transparency, and environmental sustainability.

This section specifically covers products and services we procure for ViacomCBS productions, operations, and facilities. For information on licensed consumer products, [please click here](#).

Mapping Our Supply Chain Environmental Impact

We are committed to reporting and managing our Scope 3 emissions across our value chain to set a credible net zero target as defined by the Science Based Targets initiative. In 2020, we expanded the Scope 3 categories we reported to CDP and received third-party verification. For the first time, we will be reporting a market-based Scope 3 value based on data directly from our suppliers.

For the Purchased Goods & Services and Capital Goods categories, we used a spend-based approach to estimate our emissions across our entire organization. In 2020, we received data directly from our paper providers for Simon & Schuster

books and small parcel shipping vendors, as those were our more significant estimated categories in 2019. We removed all new categories of Scope 3 emissions from our spend data to avoid double counting; as a result, the scope of our emissions is similar to 2019 but the data source is more accurate.

With the launch of Paramount+, we prioritized the direct calculation of 2020 emissions for our existing platforms, including CBS All Access, Pluto TV, SHOWTIME Anytime, BET+, Noggin, My5, 10 Play, and others. We conducted interviews with our internal IT team and content delivery providers to establish our sustainability expectations and plan for data collection and transparency. Our providers are at different stages in their sustainability journeys:

Two have public 100 percent renewable energy goals, two were able to provide detailed market-based emissions data, and one will be able to do so next year. Based on the data we received, our content delivery network currently consumes 12 percent renewable energy. As we procure more renewable energy, we look forward to collaborating with our suppliers to reduce their footprints.

For the first time, we reported emissions from the transportation and distribution of our consumer products, home entertainment discs, and Paramount Pictures theatrical displays. In 2019, we reported those transportation and distribution emissions for our Simon & Schuster books, a line of business that will likely be sold in the near future. In addition to calculating the emissions

from these activities, our largest suppliers were able to provide market-based values for their specific vehicles and equipment.

In 2020, we also calculated waste emissions at four major locations in California and on our productions. We will look to partner with our waste haulers and property managers to improve this data annually.

Although our products do not directly consume electricity, they do so indirectly through the video players and display screens required to view our content. We have reported the emissions to manufacture our home video discs as part of a lifecycle approach to assessing our sold products. These emissions are accounted for as fuel-and-energy related activities.

2020 SCOPE 3 EMISSIONS BREAKDOWN

Scope 3	2019 - MT	2020 - MT
Scope 3 (TOTAL)	819,682	6,878,548
Purchased Goods & Services	637,543	6,306,008
Capital Goods	115,600	524,161
Business Travel	54,439	14,443
Upstream Transportation & Distribution	2,435	8,936
Downstream Transportation & Distribution	9,665	18,192
Fuel-and-Energy Related Activities from Streaming and DVD Manufacturing*	—	5,092
Waste Generated*	—	1,715

*We began tracking Scope 3 emissions for these categories for the first time in 2020.

IMAGES (LEFT TO RIGHT):
Canned water at MTV Awards television show;
CBS television show: Love Island on-screen cast reusable bags



Sourcing and Procurement

The main categories of services we procure are technology, production and events, post-production and content services, marketing and research, corporate facilities, and professional services. We purchase or rent items like computers and cleaning supplies for our corporate offices, trailers and equipment for our production studios, and advertising and promotional items for our marketing

campaigns. Our Chief Sourcing & Procurement Officer oversees all sourcing and manages our four different sourcing “towers,” each responsible for different categories of procurement spend. We have purchasing guidelines across all levels of procurement and have specific environmental and social responsibility criteria that we implement on spending over certain financial thresholds.

We manage and account for our procurement across six regions – North America, Europe, Australia and New Zealand, South America, Asia, and the Middle East and Africa. The bulk of our spending is in the U.S., where we produce most of our content and have our largest corporate office facilities.

Expectations for Our Suppliers

GRI: 409-1

We expect suppliers to maintain strict compliance with all laws and regulations in the places where they do business and to maintain the highest ethical standards, as outlined in the [ViacomCBS Supplier Compliance Policy](#). We also expect them to be familiar with the [ViacomCBS](#)

[Global Business Conduct Statement](#), which expressly prohibits inappropriate conduct including bribery and corruption, anti-competitive business practices, and physical and sexual harassment.

We have zero tolerance for any forced or child labor in our supply chain – though it is not a significant risk in our main areas of procurement. In line with the UK Modern Slavery Act, we use third-party tools to conduct a periodic review of forced labor risk in our supplier pool, and we train our procurement team to be aware of any such risks. We immediately investigate any reports or allegations of forced labor, including prison labor, in our supply chain.

We are also working to expand engagement with suppliers on a range of other environmental and social criteria. Our intention is to make our expectations around specific environmental and social standards clear to our supplier partners, and we are implementing this work by reviewing our top vendors by spend to understand where we have the biggest opportunities for impact and updating our policies accordingly.

Supplier Diversity

Supplier diversity is critical to our business, and it is a complex topic to manage given the breadth of services and products that we procure. We work to identify, develop, and source products and services from diverse and traditionally underrepresented suppliers. It is important that our supply chain reflects the demographics of our employees, customers, and consumers, while also increasing our positive economic impact in diverse communities. Our aim is to build a diverse supplier base that drives cost savings, innovation, and improved quality.

In our inaugural report, we shared that we would reassess our annual supplier diversity goal as a result of the merger. We successfully merged the two supplier diversity programs from Viacom and CBS and created our target for diverse supplier spend. We exceeded the 2020 adjusted goal, even amid a changing business landscape during the COVID-19 pandemic. Despite a year of unprecedented challenges, diverse suppliers continued to add significant

value to our supply chain, including over 50 percent of the PPE supplies that allowed ViacomCBS to provide continuity of business and broadcasting to our domestic audiences. We are encouraged with the momentum and engagement of ViacomCBS as a combined company and our goal is to achieve year-over-year increases in diversity spending.

We recognize and engage with traditionally underrepresented groups, as defined by these common categories:

- Minority Owned (MBE)
- Women Owned (WBE)
- Lesbian, Gay, Bisexual, and/or Transgender Owned (LGBTBE)
- Disability Owned (DOBE)
- Veteran Owned (VBE)
- Other Diverse Small Business designations (DBE)

Our Supplier Diversity and Global Sourcing teams work with other internal teams across our business to make sure diverse and underrepresented suppliers

have an opportunity to compete for contracts. And our Global Inclusion Advisory Committee advises on strategic direction and reviews supplier diversity reports on an ongoing basis.

We also seek to validate and strengthen our approach through engagement and partnerships with organizations like the National Minority Supplier Development Council, the Women's Business Enterprise National Council, Disability:IN, and the National LGBT Chamber of Commerce.

2020 SUPPLIER DIVERSITY BREAKDOWN

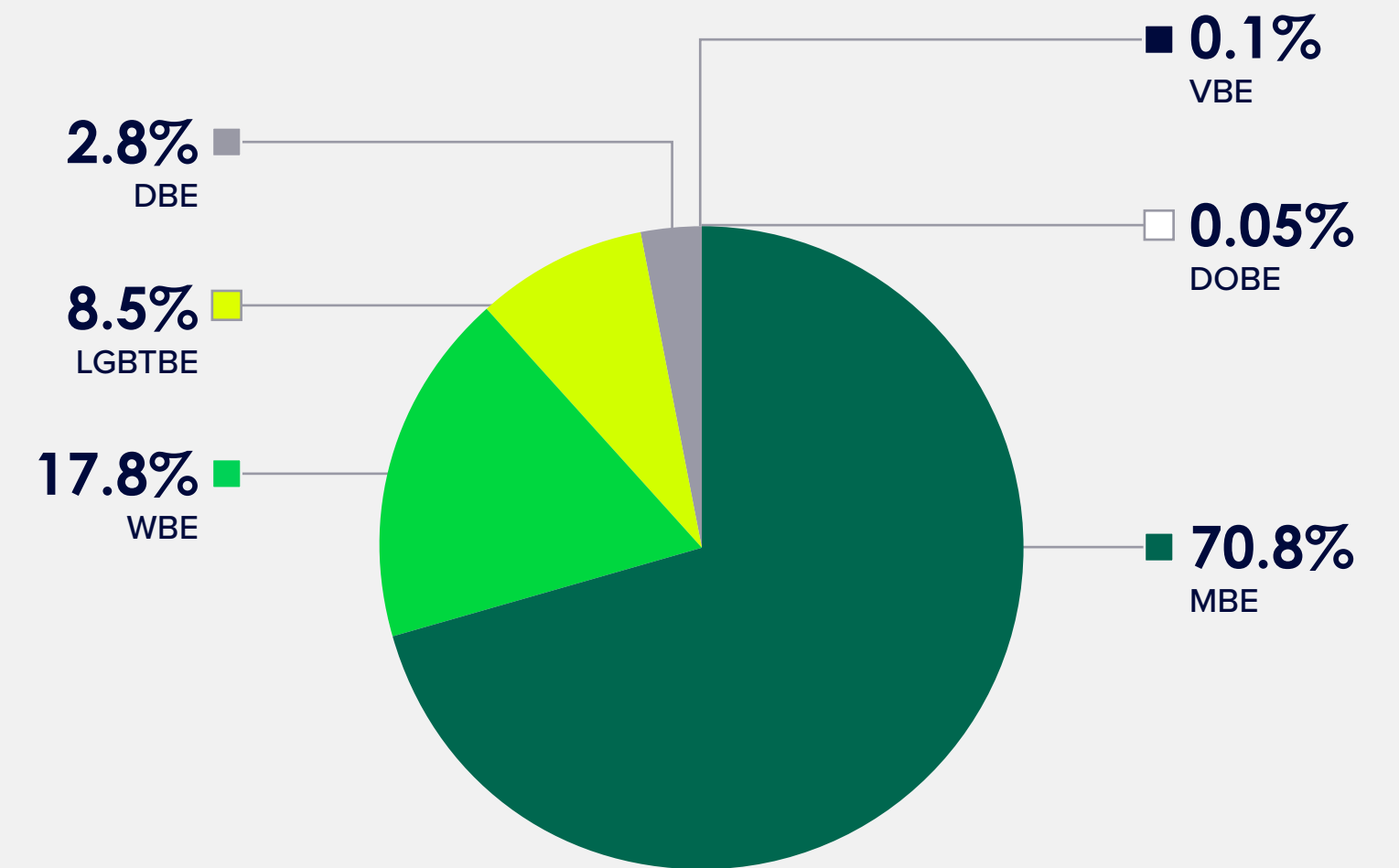


IMAGE:
Supplier diversity event:
diverse-owned solar vendor